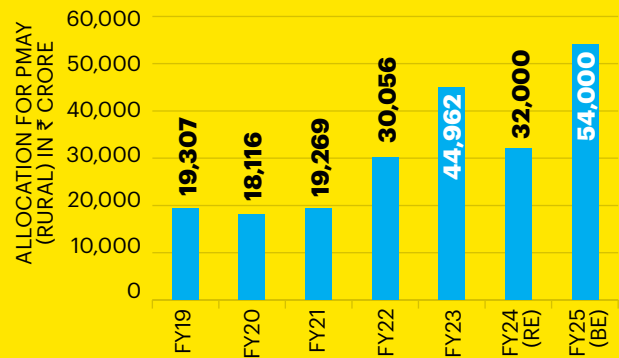




ALLOCATION FOR RURAL SCHEMES

- 68% more allocation to PMAY (Rural) in FY25 vs FY24
- 25,000 villages to be linked with all-weather roads



RE REVISED ESTIMATES BE BUDGET ESTIMATES
SOURCE BUDGET DOCUMENTS

it will rope in the private sector for setting up compact nuclear reactors, called Bharat Small Reactors, and for research and development of Bharat Small Modular Reactor and of newer technologies for nuclear energy.

Reports suggest the government is in talks with big players like Reliance Industries, Adani Group, Tata Power, and Vedanta to invest ₹2.2 lakh crore in nuclear power, a non-carbon-emitting energy source that contributes less than 2% of India's total electricity generation at present. It is the first time that the nuclear sector has been opened to private players.

“Expanding the list of exempted capital goods in manufacturing solar cells and modules will bring down the cost of domestic production and accelerate energy transition. Although nascent, steps towards exploration of public-private partnership in nuclear energy, especially development of small modular nuclear reactors, can help scale up nuclear energy capacity in the country as well, further supporting the sustainability push in the energy segment,” says Ankit Hakhu, Director at rating agency CRISIL Ratings.

Sitharaman said the PM Surya Ghar Muft Bijli Yojana has received over 12.8 million registrations and 140,000 applications. Launched earlier this year with a target of installing solar rooftops in 10 million households with a Budget outlay of ₹75,000 crore, the scheme is expected to revolutionise the renewable energy sector.

STATE INFRA

Projects worth ₹74,000 crore were announced for key allies of Bihar and Andhra Pradesh. Roads, power, airport and irrigation projects worth ₹59,000 crore in Bihar—road projects worth ₹26,000 crore, a power plant

for ₹21,400 crore, and ₹11,500 for flood management and irrigation—and ₹15,000 crore for development work in Andhra Pradesh have been allocated. This also includes the development of industrial corridor nodes and religious tourism in the states.

Although the government did not grant special status to Bihar, it announced an additional allocation for capital investments and expedited external assistance from multilateral development banks. An additional allocation will also be provided this year for capital investments to spur economic growth in Andhra Pradesh.

The move has provoked ire from the Opposition, which has accused the government of appeasing its allies to remain in power.

Experts say a focus on infrastructure will give a filip to several other linked sectors such as cement, real estate, housing finance, and others.

“The government’s continued focus on infrastructure development, including new road projects in Bihar, plug-and-play industrial parks in 100 cities, and 12 new industrial parks, in turn, augurs well for commercial vehicle demand, especially multi-axle vehicles, and tippers,” says Kinjal Shah, Senior Vice President & Co-Group Head-Corporate Ratings at credit rating agency ICRA Ltd. “The focus on developing tourism locations, as well as improving road connectivity in rural areas, augurs well for the demand for public transportation, including buses.”

While India aims to fast-track its way to a \$10-trillion economy by 2035, implementation of these schemes will be crucial. **BT**

@richajourno